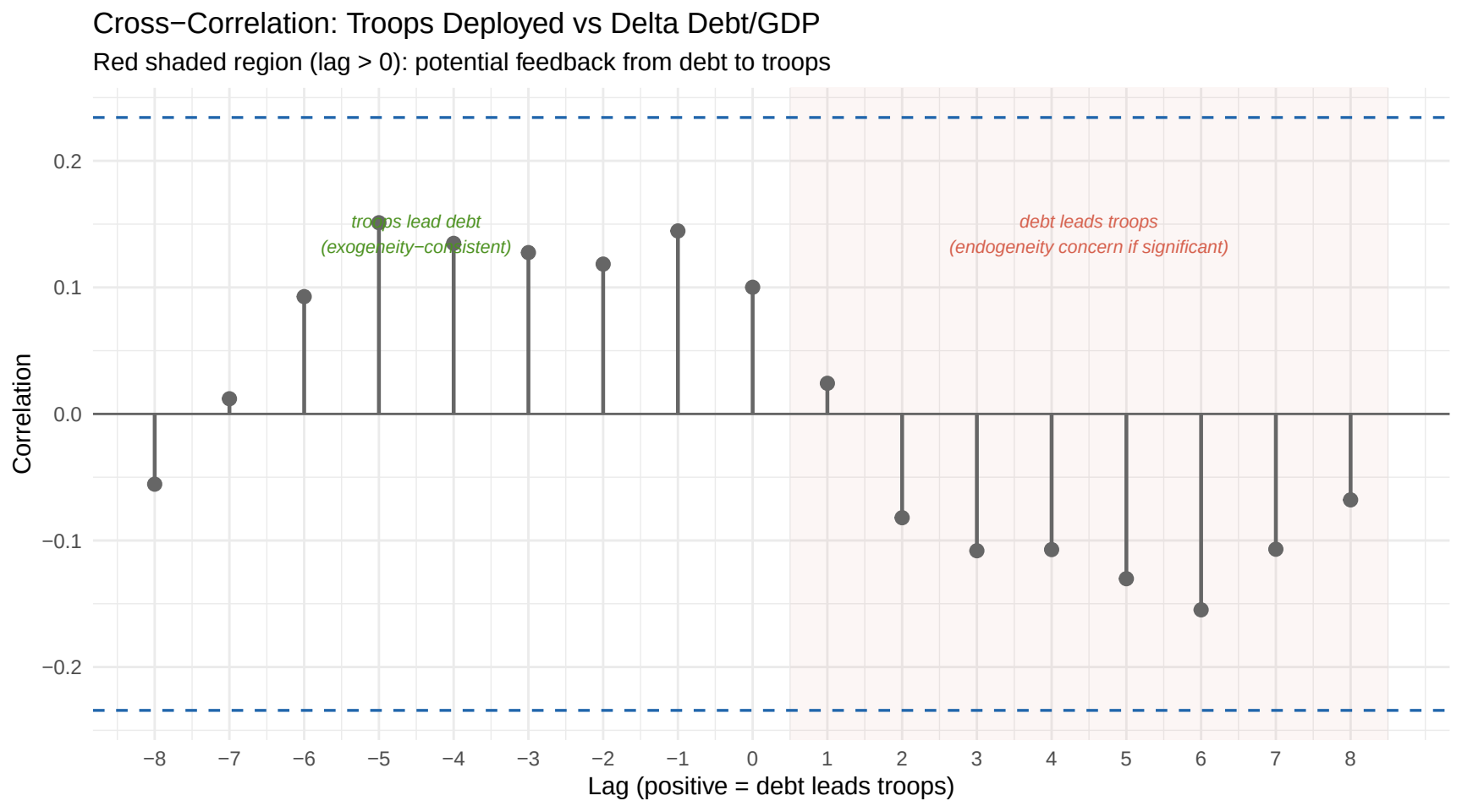
Cross−Correlation: Troops Deployed vs Delta Debt/GDP
Red shaded region (lag > 0): potential feedback from debt to troops
troops lead debt
(exogeneity−consistent)
debt leads troops
(endogeneity concern if significant)
Correlation
0.2
0.1
0.0
−0.1
−0.2
−8
−7
−6
−5
−4
−3
−2
−1
0
1
2
3
4
5
6
7
8
Lag (positive = debt leads troops)